

options, many people struggle to understand its jargon or how it works. But still, traders should understand options because of the following reasons:

To Beat Intraday Margin Issues

From Jan 2021, SEBI has implemented a new rule (in a phased manner) to abolish any extra margin for day traders. It means from Sep 2021, the capital required to buy 1 lot either as an intraday trade (MIS Margin Intraday Square-off) or positional trade (NRML- Normal) in India is the same.

So, if you are an intraday trader, it is challenging to get better returns if you trade in the futures segment (as it demands more margin). Besides, many people might not have sufficient capital to buy even 1 lot of futures in any top stocks in Nifty.

But with options various strategies can be deployed to get a better ROI. It is also advantageous to note that these strategies can be implemented even with small capital.

To Negate Volatile Market Conditions

Since the Covid-19 pandemic, many markets have become volatile. High volatility markets are good for traders; but they also demand more skills in emotion control, ability to ride the profits, and dynamic adjustment of position size due to deeper stop-loss.

Besides, huge gap up/down scenarios also offer a big challenge to intraday traders.

Hence, skilled day traders can use options as a speculative instrument to make big money. Intermediate-level traders can use option spreads to limit the losses and to increase profits. Investors can reduce the risk by hedging their portfolios.

To Take Advantage of Weekly Options

Derivatives trading was smooth before the introduction of weekly options. The introduction of weekly options attracted many day traders (towards